

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK EXPRESS (NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-17

Served: March 28, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING MOTION TO INDIVIDUALLY IDENTIFY RESPONDENTS

On March 15, 2022, Respondents Ocean Network Express, PTE. LTD. (“ONE”) and Ocean Network Express (North America), Inc. (“ONE NA”) moved for an order requiring the Bureau of Enforcement (“BOE”), in the future, to “identify each entity individually in any claims, allegations, statements, and subsequent pleadings, including but not limited to discovery requests, briefs, and findings of fact.” Motion at 1. Respondents also requested that the time for BOE to reply be shortened, as discovery requests were due three days after the motion was filed. Motion at 3-4.

On March 21, 2022, BOE filed its opposition to the motion, requesting that the motion be dismissed, but also stating that BOE filed “separate discovery requests to make clear to the Respondents the information being sought and so BOE would receive separate and distinct answers from each Respondent.” Opposition at 2-3. Thus, the motion is no longer time sensitive.

It is concerning that the parties seem unable to agree even on uncontroversial matters that would help move this proceeding along more efficiently, for instance, failing to file status reports jointly, as required, or to stipulate to a single fact. As another example, in this case where BOE appears to agree that ONE and ONE NA are separate corporate entities and states that it served separate discovery requests to each entity, there should have been no need to file the motion, or for BOE to file an opposition to a motion that it appears to recognize as valid. Motions that could be avoided by better communication between the parties only prolong the proceeding and create additional, unnecessary work for all.

BOE’s position is not entirely clear, however. Although BOE states that it served separate discovery requests on ONE and ONE NA, it also argues that it “is unable to determine if ONE, ONE NA, or both are acting as a regulated entity.” The question of whether ONE and ONE NA are separate corporate entities is a different and distinct question from whether they are both regulated entities. Ignoring the corporate structure of an entity without a legal basis can cause confusion.

Respondents base their motion on the “Order Requiring that each Complainant Individually be Identified with each Claim or Allegation” issued in *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, Docket No. 96-13, 28 S.R.R. 1582 (ALJ May 26, 2000). Motion at 2-3. BOE argues that in *Holt Cargo*, the “dispute involved myriad claims from multiple complainants with a similar name and multiple respondents. That situation is not all the case here. In this matter, BOE is the sole complainant, and the Respondents are the same as the Texas lawsuit.” Opposition at 2 (footnote omitted).

In *Holt Cargo*, the respondents requested that the three complainants be “compelled to identify which allegations are associated with which complainants,” while the complainants asserted that they were entitled to proceed jointly. *Holt Cargo*, 28 S.R.R. at 1582. The decision stated:

We have been painting with a rather broad brush in this proceeding referring to the various complaints collectively as “Holt.” That was suitable and convenient. But with the denial of motions for summary judgment we move to an accelerated schedule for the next phase of this proceeding to a requisite determination of jurisdiction. It is thus apparent that a finer brush must be employed to delineate each complainant and the relevant activities vis-à-vis each respondent.

Holt Cargo, 28 S.R.R. at 1583. The decision concludes that “separate identification of each complainant is not shown to be unduly burdensome and would accord with respondents’ due process rights.” *Holt Cargo*, 28 S.R.R. at 1583.

Respondents, *sub judice*, contend that “[d]ue process and fundamental fairness require that each entity separately charged with violations of the Shipping Act be informed what specific allegations, claims, statements, and questions are addressed to each of them.” Motion at 2. It is not clear why BOE thinks the number of parties is relevant, and BOE does not address the core issue of Respondents’ due process rights.

“Due process requires that persons charged with unlawful conduct be given prior notice of the charges and an opportunity to be heard in defense before the government can take enforcement action.” *Soule Glass & Glazing Co. v. NLRB*, 652 F.2d 1055, 1073 (1st Cir. 1981). Pursuant to the Administrative Procedures Act, in an administrative adjudication, the respondent is entitled to notice of “the matters of fact and law asserted.” 5 USC § 554(b). The decision in *Holt Cargo* was predicated on the respondents’ due process rights, and supports the arguments made in the motion. Each entity named as a respondent in a proceeding has the right to understand what allegations are being made against it.

BOE states that “[d]espite ONE NA’s best effort and multiple attempts to extricate itself from these proceedings, the Commission named it and ONE as a Respondent.” The use of the singular “Respondent” muddies the waters. Does BOE contend that ONE NA and ONE are the same corporate entity? The Order of Investigation and Hearing (“OIH”) instituted this proceeding “against Ocean Network Express PTE. LTD. and Ocean Network Express (North America), Inc. (collectively ONE), vessel-operating common carriers.” OIH at 1. This implies that there are two corporate respondents. However, the rest of the OIH treats the collective ONE as a singular entity, even alleging that “ONE, is a company organized under the laws of

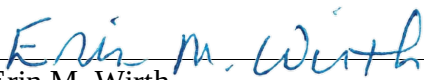
Singapore” with a principal place of business in Singapore and that “ONE maintains its United States headquarters” in Richmond, Virginia – suggesting that there is only one corporate respondent. If BOE has a legal basis for treating separate entities as one entity, Respondents have a right to know the basis and legal theory supporting that argument.

Respondents promptly raised this issue as part of their petition for reconsideration to the Commission and their motion to dismiss. The order denying the motion to dismiss states that “at this time, ONE NA will not be dismissed on the basis of personal or subject matter jurisdiction to give the parties an opportunity to conduct discovery, clarify the roles of each entity, and brief the merits of the proceeding.” BOE quotes this statement in its opposition, however, it does not support BOE’s opposition to the motion. The order denying the motion to dismiss specifically identified clarifying the roles of each entity as critical. If BOE resists naming each entity individually in any claim, allegation, statement, and subsequent pleading, how will such clarity be achieved?

The motion does not request changes to previous filings or pleadings but rather, requests that moving forward, BOE be clear what allegations it is making against ONE NA and what allegations it is making against ONE. As outlined above, the record on this issue is muddy. If BOE has a legal theory to support piercing the corporate veil, it should so allege. *See Mitsui OSK Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 32 S.R.R. 126, 147 (FMC August 1, 2011) (Cmr. Dye, dissenting in part) (“despite the abundance of case law explaining the legal theory of ‘piercing the corporate veil’, Mitsui did not allege relevant facts which would justify proceeding to discovery for the purpose of undertaking a ‘piercing the corporate veil’ analysis”). If there is another legal theory on which BOE relies, it should provide notice to Respondents.

The parties have been encouraged to settle this proceeding on multiple occasions. The scheduling order states that the “parties should also exchange settlement offers, if they have not done so already.” Settlement proposals are not indications of the weakness of a party’s claim, but commonly reflect a realistic recognition by parties that it may be more efficient to resolve a dispute by settlement to avoid the costs and uncertainty of litigation. The parties are often in the best position to fashion the most commercially workable remedy. Therefore, the parties are required to exchange settlement proposals.

Accordingly, it is hereby **ORDERED** that Respondents’ motion be **GRANTED**. BOE shall, from this date forward, identify each entity individually in any claims, allegations, statements, and subsequent pleadings, including discovery requests, briefs, and proposed findings of fact. This does not require filing separate documents, but rather using precise language to clarify when the parties are speaking about ONE, ONE NA, or both Respondents. It is further **ORDERED** that Respondents’ motion for expedited treatment be **DISMISSED AS MOOT**. The parties must exchange settlement proposals if they have not done so already.


Erin M. Wirth
Chief Administrative Law Judge